

Research found that 38 percent of teens donated some of their money to a church on a weekly basis. To be charitable is honorable and virtuous, but under what circumstances can “giving” create a situation where the giver then becomes the one in need of assistance?

This chapter will explain all of the ramifications of lending money including:

- When you need a cosigner
- Considerations before cosigning
- Your legal obligations as a cosigner
- When the borrower has no intention to repay
- How to collect money lent to others

Money is not just a transaction when lent to a friend, there are also emotional bonds attached. This distinction makes both the giving and the receiving more complicated than a formal bank transaction. The story of Devin and Rhonda illustrates this problem.

Will You Cosign On My Car?

When friends become bankers, it is a risky relationship. The bonds of friendship are strong, but our feelings about money are also powerful. Since money affects so many areas of our lives, it sets up a dangerous link to have your friend in control of your finances. Your friend may end up being responsible for your losing your car, not being able to pay your bills, or ruining your credit. When these consequences result after money promised is not received, trust is broken. Once trust is lost, it is very hard, if not impossible, to regain.

Devin and Rhonda were in their mid-twenties and had been friends since childhood. They grew up next door to one another and went to the same college. People thought they

